

West Virginia

GENERAL INFORMATION

1. West Virginia **maintains** a list of eligible surplus lines insurers (see Other Comments Section #1).
2. West Virginia **does** have a Surplus Lines Association.
3. West Virginia **does** have an Export List (see Other Comments section #1).
4. West Virginia **does** have an industrial insured exemption applicable to captive insurers only (see Appendix C) and has also adopted the NRRA exempt commercial purchaser exemption W. Va. Code § 33-12C-3(f).
5. **Surplus lines tax:** 4.55%, collected and remitted to Commissioner by surplus lines licensee. The surplus lines tax is imposed on gross fees charged to the policyholder in addition to net premiums.
6. West Virginia **does not** allow formation of domestic surplus lines insurers in the state.

ELIGIBILITY AND FILING REQUIREMENTS (ALL INSURERS)

1. **Application.**
2. **Plan of Operation.**
3. **Requalification Fee:** \$100.

ELIGIBILITY AND FILING REQUIREMENTS (ALIEN INSURERS ONLY)

1. **NAIC Listing.**
2. **Current Certificate of Authority** from the Insurance Regulatory Authority in jurisdiction of domicile.
3. Attestation of Filing of **IID Financial Format**.
4. Description of products to be sold in West Virginia (Form SL-2) and proposed business plan if amended or changed from the initial filing.

ELIGIBILITY AND FILING REQUIREMENTS (FOREIGN INSURERS ONLY)

1. **Certificate of Authority** from the Insurance Regulatory Authority in state of domicile.
2. **Capital and Surplus:** No less than \$15 million.
3. **Annual Statement:** Signed with a jurat page.

TYPES OF INSURANCE EXEMPTED FROM SURPLUS LINES REGULATION

Transactions in West Virginia relative to a policy issued or to be issued outside West Virginia involving insurance on cargo vessels, its craft or hulls, its cargoes, marine builder's risks, marine protection and indemnity, or other risks, including strikes and war risks, commonly insured under ocean or wet marine forms of policy.

OTHER COMMENTS OR REQUIREMENTS

1. West Virginia's eligibility and export lists are available at:
Eligibility list: <https://www.wvinsurance.gov/company>
Export List: https://www.wvinsurance.gov/Portals/0/pdf/company/Surplus_Lines_Export_List_12.17.24.pdf?ver=2024-12-16-135412-493.
2. Surplus lines licensees may procure insurance from unlicensed insurers if the business is not procurable from a licensed company.
3. Insurer must be solvent.
4. The surplus line broker may charge the prospective policyholder a fee for the cost of underwriting, issuing, processing, inspecting, servicing or auditing the policy for placement with the excess line insurer if:
 - The service is required by the excess line insurer.
 - The service is actually provided by the surplus line licensee or the cost of the service is actually incurred by the surplus line licensee.
 - The provision or cost of the service is reasonable, documented and verifiable.
5. Inquiries may be directed to:
Financial Conditions Division
P.O. Box 50540
Charleston, WV 25305-0540
Phone: 304-558-2100
Fax: 304-558-1365
For tax related questions:
oiwvtaxsection@wv.gov
For general questions:
dean.e.hastings@wv.gov
6. The surplus lines licensee shall give the following consumer notice to every person applying for insurance with a nonadmitted insurer. The notice shall be printed in sixteen-point type on a separate document affixed to the application. The applicant shall sign and date a copy of the notice to acknowledge receiving it. The surplus lines licensee shall maintain the signed notice in its file for a period of ten years from expiration of the policy. The surplus lines licensee shall tender a copy of the signed notice to the insured at

the time of delivery of each policy the licensee transacts with a nonadmitted insurer. The copy shall be a separate document affixed to the policy.

“Notice: 1. An insurer that is not licensed in this state is issuing the insurance policy that you have applied to purchase. These companies are called “nonadmitted” or “surplus lines” insurers. 2. The insurer is not subject to the financial solvency regulation and enforcement that applies to licensed insurers in this state. 3. These insurers generally do not participate in insurance guaranty funds created by state law. These guaranty funds will not pay your claims or protect your assets if the insurer becomes insolvent and is unable to make payments as promised. 4. Some states maintain lists of approved or eligible surplus lines insurers and surplus lines brokers may use only insurers on the lists. Some states issue orders that particular surplus lines insurers cannot be used. 5. For additional information about the above matters and about the insurer, you should ask questions of your insurance agent or surplus lines licensee. You may also contact your insurance commission consumer help line.”

7. No contract of insurance placed by a surplus lines licensee in West Virginia shall be binding upon the insured and no premium or fee charged shall be due and payable until the surplus lines licensee shall have notified the insured in writing, in a form acceptable to the commissioner, a copy of which shall be maintained by the licensee with the records of the contract and available for possible examination, that:
 - The insurer with which the licensee places the insurance is not licensed by this state and is not subject to its supervision; and
 - In the event of the insolvency of the surplus lines insurer, losses will not be paid by the state insurance guaranty fund.
 - Nothing herein contained shall nullify any agreement by any insurer to provide insurance.
8. Eligibility, filing requirements and attestation forms can be found on the West Virginia DOI website at www.wvinsurance.gov by clicking on “Insurance Companies,” then clicking on “Forms.”
9. Each surplus lines insurance policy or evidence of insurance shall have printed or stamped in contrasting color on the front page the following statement:

THIS COMPANY IS NOT LICENSED TO DO BUSINESS IN WEST VIRGINIA AND IS NOT SUBJECT TO THE WEST VIRGINIA INSURANCE GUARANTY ASSOCIATION.

Contact Our Insurance + Reinsurance Team

CONTACT US

